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| CASE #      | CASE NAME                                          | HEARING NAME                                                |
|-------------|----------------------------------------------------|-------------------------------------------------------------|
| CVME2402667 | CAREY VS DEPARTMENT OF MOTOR VEHICLES HEADQUARTERS | MOTION TO STRIKE RESPONDENT'S OBJECTION AND WRIT OF MANDATE |

**Tentative Ruling: Motion to Strike is denied. Oral Arguments to Proceed on Writ of Mandate.**

2.

| CASE #      | CASE NAME                      | HEARING NAME                   |
|-------------|--------------------------------|--------------------------------|
| CVME2501095 | JOHNSON VS AG MURRIETA SNF LLC | PETITION TO COMPEL ARBITRATION |

**Tentative Ruling: Petition is Denied.**

Under California law, Code of Civil Procedure §1281.2, a party to an arbitration agreement may move to compel arbitration if another party to the agreement refuses to arbitrate, and the court shall order the parties to arbitrate if it determines that an agreement to arbitrate exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; (b) Grounds exist for the revocation of the agreement; or (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.

A proceeding to compel arbitration is in essence a suit in equity to compel specific performance of a contract. (*Freeman v. State Farm Mutual Auto Insurance Co.* (1975) 14 Cal.3d 473, 479). If there is a dispute as to the enforceability of an agreement to arbitrate, an evidentiary hearing is required. The facts are to be proven by affidavit or declaration and documentary evidence with oral testimony taken only in the court's discretion. (*Sonic-Calabasas A, Inc. v. Moreno* (2013) 57 Cal.4th 1109, 1157). The party petitioning for arbitration has the burden of proving that there is a valid arbitration agreement. (*Higgins v. Superior Court* (2006) 140 Cal.App.4th 1238, 1247.) The opposing party has the burden of proving that the arbitration provision is unenforceable. (*Ibid.*) "In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Rosenthal v. Great Western Finance Securities Corp.* (1996) 14 Cal.4th 394, 413-414).

The Federal Arbitration Act (FAA) (9 U.S.C. §§1 et seq.) also authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract. (9 U.S.C. §2). The enforcement language of the FAA is almost identical to Code of Civil Procedure, section 1281. In situations governed by the FAA, conflicting state law is preempted in either state or federal courts. (*Volt Info. Sciences, Inc. v. Board of Trustees of Leland Stanford Junior University* (1989) 489 U.S. 468, 477). To compel arbitration under the FAA, a finding must be made that an agreement exists for arbitration between the parties and the agreement covers the dispute. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 648-49).

The leading U.S. Supreme Court case discussing the scope of arbitration clauses held that the enforcement of an arbitration clause is a matter of ordinary state-law contract

principles. (*AT&T Mobility LLC v. Concepcion* (2011) 131 S.Ct. 1740, 1745 (*Concepcion*); *First Options v. Kaplan* (1995) 514 U.S. 938, 944.) Arbitration agreements are on equal footing with other contracts and should be enforced according to their terms. (*Concepcion*, 131 S.Ct. 1740, 1745.) The phrase in the FAA, 9 U.S.C. §2, that arbitration agreements can be declared unenforceable on grounds of law or equity for revocation permits invalidating such agreements on contract defenses of fraud, duress or unconscionability. (*Concepcion*, 131 S.Ct. 1740, 1746.)

“Under both federal and California law, arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (*Armendariz v. Foundation Health Psychcare Services* (2000) 24 Cal.4th 83, 98 (*Armendariz*).)

Similar to California law, any doubt about the arbitration of a dispute under the FAA is resolved in favor of arbitration. (*AT&T Techs. v. Communs. Workers of America*, *supra*, at p. 650.)

In the summary proceedings on a motion to compel arbitration, “the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

**Existence of Agreement** - First, the party seeking to compel arbitration has the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence. (*Ruiz v. Moss Bros. Auto Group* (2014) 232 Cal.App.4th 836, 842.)

In support of the petition, Defendant provides the declaration of James Wright, administrator at Murrieta Health and Rehabilitation Center. Wright explains Johnson signed the admission agreement himself and was given the opportunity to read the paperwork. (Wright Decl. ¶10.) Wright asserts the process for obtaining electronic signatures involves OneSpan, a software similar to DocuSign. The documents are electronically delivered to the signing party via the preferred phone number and email address on file. An authorization code is sent to the preferred phone number, which must be entered in order to open the documents sent to the designated email address. The signing party then opens the documents and electronically signs the documents. (¶11.) Wright explains where the e-signature is captured from the resident signee in person, an admissions assistant will bring an electronic tablet directly to the signee to capture their electronic signature. (¶12.) Wright explains the admissions assistant then signs a declaration on their own behalf indicating the arbitration agreement was explained to the resident in a language they can understand. The admissions assistant further attests that they explained to the resident the agreement is optional and not a condition for admission. (¶13.) The admissions assistant for Johnson’s admission was Jevan Carey. (¶13.) Wright provides a copy of Carey’s declaration, which explains they presented Johnson with the document at 2:00 p.m. on February 18, 2024. Carey indicates Johnson signed the agreement himself. (Wright Decl. Ex. C.)

Plaintiff objects to the evidence offered in support of the petition. Plaintiff objects to Wright’s declaration arguing he lacks the requisite personal knowledge to attest to the facts in his declaration. Wright explains he “oversee[s] the admissions process” and is “aware of policies and procedures for admitting new residents into the Facility both currently and at the time of Mr. Johnson’s admission.” (Wright Decl. ¶9.) Plaintiff takes issue with the fact that Wright was not personally present when Plaintiff signed the admissions documents. However, Wright’s declaration explains his familiarity with the

admissions process and then provides the declaration from Jevan Carey who was physically present when Plaintiff signed the admissions documents. Wright's declaration speaks to his own personal knowledge. **Objection is overruled.**

Plaintiff objects to the arbitration agreement arguing it has not been properly authenticated. Plaintiff argues Defendant did not provide a declaration from a custodian of records or other qualified employee from Murrieta Health who can authenticate the agreement based on personal knowledge. Under Evid. Code §1561(a)(3)-(5), in order to ensure that records are admissible without requiring their authenticity to be proved through live testimony, the custodian's declaration must state the records were prepared by personnel of the business in the ordinary course of business at or near the time of the act, condition or event, the identity of the records, and a description of the mode of preparation of the records.

Here, James Wright identifies the documents attached to his declaration as included in Johnson's "chart and business file" at Murrieta Health and Rehabilitation Center. Wright explains the documents are "maintained in the ordinary course and scope of business." (Wright Decl. ¶¶15-18.) As discussed above, Wright details the process for presenting the documents to residents and how their signature is captured and recorded. Wright explains the admissions assistant declaration that accompanies Plaintiff's signature on the arbitration agreement. (¶¶13, 17.) Wright does not specifically identify himself as a "custodian of records" for Defendant. Evidence Code §1561(a)(1) requires the affiant to state they are either the duly authorized custodian of records or "other qualified witness and has authority to certify the records." Wright does not state he has "authority" to certify the records. However, the substance of Wright's declaration makes clear he is familiar with the processes in place to obtain signatures from residents and since he "oversees the admissions process" he has the ability to certify the records kept in the course and scope of Defendant's business are what they purport to be. Wright's declaration is sufficient to authenticate the arbitration agreement. **Objection Overruled.**

Plaintiff also objects to Exhibits C and D to the Wright declaration. However, Plaintiff's arguments concerning these exhibits – that they lack proper foundation and do not establish Plaintiff had capacity or authority to sign the arbitration agreement – go to the weight of the evidence rather than its admissibility. **Objections Overruled.** Defendant has met its burden to establish an arbitration agreement exists between the parties.

**Johnson's Capacity to Sign the Agreement** - Plaintiff argues Defendants cannot demonstrate that Plaintiff knowingly and voluntarily agreed to arbitration. Plaintiff notes on January 27, 2024 he underwent hip surgery after a fall at home. During the surgery, Plaintiff suffered a heart attack. On January 28, 2024, he was transferred to Temecula Valley Hospital for a code STEMI and underwent emergency cardiac catheterization with stent placement. On February 1, 2024, he was discharged from the hospital and admitted to Murrieta Health for rehabilitation. Plaintiff contends he was "wholly dependent on facility staff for his basic needs" (Opp. p.6:15) and was not oriented to time. (Opp. p.6:18-19.)

Plaintiff's sister, Chrissi Borchard, submits a declaration in support of the Opposition. She was Plaintiff's power of attorney during his time in hospitals and care facilities. (Borchard Decl. ¶2.) Borchard explains "Paul had significant hearing limitations" as he could only hear in one ear and relied on hearing aids. (¶4.) Borchard explains that even when using a hearing aid, Plaintiff "frequently had difficulty hearing and fully understanding conversations." (¶4.) Borchard describes Plaintiff as "the type of person who would comply with request without question." (¶5.) Borchard states she consistently

informed medical providers and facilities that she was his power of attorney. (¶5.) Borchard instructed Murrieta Health that she would be signing all paperwork on his behalf. (¶7.) Plaintiff's medical conditions "affected his ability to fully understand complex matters." (¶6.) It is Borchard's opinion that Plaintiff would not have understood the nature or consequence of an arbitration agreement and he wouldn't have known to ask questions about such an agreement. (¶6.) Borchard explains it was random and dependent on the day as to whether Plaintiff would understand complex or even simple things. (¶6.) Borchard expresses concern about Paul's mental and physical state on the day he purportedly signed the arbitration agreement. Borchard states, at that time, he was extremely fatigued, under significant stress, and recovering from his many surgeries and complications. (¶7.)

Lack of mental capacity to enter into the contract is a defense to enforcement of the arbitration clause. (Civil Code § 1556 (persons of unsound mind incapable of contracting).) Agreements made by a person of unsound mind may be void or voidable. (Civil Code §§38-40.) The law presumes all persons have the capacity to make decisions and to be responsible for their actions or decisions (Prob. Code §810(a)), but this presumption may be rebutted (*ibid*). Contracts are void if the maker was wholly without understanding or judicially determined insane. (Civil Code §38.) The agreements of a person who is mentally unsound, but not "entirely without understanding," may be voidable. (Civil Code §39.) The test is whether the person could fully understand the particular agreement and its consequences. (*Ibid*.) Mental incapacity does not require long-lasting or complete incapacitation, and it may exist when a party takes "unfair advantage of another's weakness of mind" arising from such facts as "lack of full vigor due to age, physical condition, emotional anguish, or a combination of such factors." (*Smalley v. Baker* (1968) 262 Cal.App.2d 824, 834-835, disapproved on other grounds in *Weiner v. Fleischman* (1991) 54 Cal.3d 476.)

The Probate Code establishes evidentiary requirements relating to judicial determinations of capacity, including the capacity to contract. (Probate Code § 812.) A determination that a person is of unsound mind or lacks the capacity to contract must be supported by evidence of a deficiency in at least one of four specified mental functions, and evidence of a correlation between the deficit or deficits and the decision or acts in question: 1) alertness and attention (i.e., level of arousal or consciousness, orientation to time, place, person and situation, ability to attend and concentrate); 2) information processing (i.e., short and long term memory, ability to understand or communicate with others, either verbally or otherwise, recognition of familiar objects and familiar persons, ability to understand and appreciate quantities, ability to reason using abstract concepts, ability to plan, organize and carry out actions, ability to reason logically); 3) thought processes (i.e., deficits include severely organized thinking, hallucinations, delusions, uncontrollable, repetitive or intrusive thoughts); and 4) ability to modulate mood and effect (i.e., deficits include persistent or pervasive state of euphoria, anger, anxiety, fear, panic, depression, hopelessness or despair, helplessness, apathy or indifference that is inappropriate in degree to the individual's circumstances). (Probate Code § 811(a)(1)-(4).)

The evidence before the court shows Plaintiff was deficient with respect to information processing. Borchard presents evidence that Plaintiff had significantly impaired hearing and even when wearing his hearing aid "frequently had difficulty hearing and fully understanding conversations." (Borchard Decl. ¶4.) Borchard also presents some evidence that Plaintiff was deficient with respect to attention as he would not understand

even simple things on some days, depending on the day and how he felt. (Borchard Decl. ¶¶6.) Neither party has offered evidence to show Plaintiff's physical, mental, or emotional condition on the day he signed the arbitration agreement. The declaration from Jevan Carey does not attest to Plaintiff's condition on February 18, 2024. (Wright Decl. Ex. C.)

The evidence from Borchard is compelling. Plaintiff is an elderly individual who, at the time he signed the arbitration agreement, was recovering from numerous surgeries and medical complications. Plaintiff relied on his sister as his Power of Attorney and, despite that designation, Defendant presented Plaintiff with the arbitration agreement independently of Borchard. Plaintiff had difficulty hearing and understanding conversations. Plaintiff was the type of person to sign documents without question. Depending on the day, he could not understand simple, let alone complex, things. Based on the evidence before the court, it appears Plaintiff could not enter in a valid contract at the time he is purported to have signed the arbitration agreement.

3.

| CASE #      | CASE NAME           | HEARING NAME |
|-------------|---------------------|--------------|
| CVME2504023 | PERRY VS DRIVEN I/O | DEMURRER     |

**Tentative Ruling: Evidentiary objections sustained. Sanctions denied. General and Special Demurrer are overruled. Cross-Defendant to file responsive pleading within 20 days.** Cross-Complainants objects to paragraphs 7, 9, 10 and Exhibits B (Plaintiff's Discovery Responses) and C (email by Plaintiff) contained in Santos's declaration. The objections are sustained as they are extrinsic evidence. A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994.)

Cross-Complainants cite *Notable Fin. LLC v. Woolverton*, 2024 Cal. Super. LEXIS 76320\* to request sanctions in the amount of \$1,000 for Plaintiff's improper use of extrinsic evidence. However, this case is a trial court order which does not have precedential value. (See e.g., *Harrott v. County of Kings* (2001) 25 Cal.4th 1138, 1148; *Santa Ana Hospital Medical Center v. Belshe* (1997) 56 Cal.App.4th 819, 831; *Bolanos v. Superior Court* (2008) 169 Cal.App.4th 744, 761; *City of Bakersfield v. West Park Home Owners Assn. & Friends* (2016) 4 Cal.App.5th 1199, 1210 ["Accordingly, we will neither rely upon, nor take judicial notice of, these orders"].)

**1st Cause of Action: Negligence** -The elements for a negligence claim are duty on the part of the defendant toward plaintiff; defendant's breach of that duty, and harm to plaintiff caused by the breach. (*Kesner v. Superior Court* (2016) 1 Cal.5th at 1132, 1142.)

In the present case, the FACC alleges Plaintiff owed Driven a duty to exercise reasonable care that included observing all of Driven's policies and procedures and not deleting Driven data. (FACC ¶15.) As a bailee of the laptop, Plaintiff had a duty to return it in good working condition. (*Id.* at ¶16.) Plaintiff breached her duties by failing to return the laptop in working condition, instead leaving it password protected such that Cross-Complainants were deprived of use of the laptop. (*Id.* at ¶17.) Plaintiff also breached her duties by wiping the laptop clean which violated Driven's policies and California law of